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Starbucks U.S. Sales Bump Up After Price Hike

Coffee giant's higher revenue in home market came despite lower transaction volume

By Annie Gasparro

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Starbucks said quarterly sales were up 1% and earnings were up 13%, thanks to the coffee chain's price increases in June. Shown, a Starbucks in Oceanside, Calif., in May. MIKE BLAKE/REUTERS

Starbucks Corp. said U.S. sales rose in its most recent quarter thanks to higher prices even as traffic to its thousands of stores dropped off.

The coffee giant is under pressure in the U.S. from both high-end coffee shops and stores selling cheap coffee. Traffic to U.S. stores was down 2% in Starbucks's third quarter, but sales rose 1% on a comparable basis thanks to higher prices implemented in June and more sales of bagged coffee and food.

“We are focused on improving our transaction growth through our afternoon

beverage business,” Chief Operating Officer Roz Brewer said in an interview. She added that Starbucks is also working to boost sales of its Frappuccino drinks.

Sales in all of Starbucks’s core categories in the U.S. grew in the quarter except for Frappuccino sales, Ms. Brewer said. Sales of the blended, sweet coffee drinks have struggled as people turn to healthier beverages. Starbucks recently introduced three premium Frappuccinos, including the Triple Mocha, and is making them more customizable.

Starbucks lowered its expectation for global comparable sales growth this fiscal year to below 3%, from a previous estimate of 3% to 5% growth.

The company is trying to shore up its business by closing underperforming stores and slowing the growth of licensed stores in airports and supermarkets.

It is also adding stores in regions including the South, raising concerns among some analysts that the chain may be overextending itself again.

“Apparently Americans in middle America like espresso beverages and our coffee because those stores are performing at higher average-unit-volumes than any other part of the country,” said Chief Executive Kevin Johnson.

Mr. Johnson told investors last month that his plan for boosting U.S. sales involves selling more items targeted to customer preferences through the Starbucks mobile app. The chain recently opened its app to customers who aren’t members of its rewards program and is giving rewards to anyone who registers a credit or debit card with the company. Membership in Starbucks’s rewards program was up 14% in the quarter compared with a year ago to 15.1 million users.

The chain surprised investors last month by saying sales in China, which had been a high-growth market for Starbucks, slowed significantly because of a government crackdown on third-party delivery services.

Delivery had helped drive Starbucks orders in the country, and Mr. Johnson said Starbucks plans to team up with a larger tech company to handle delivery.

Comparable sales fell 1% for the fiscal third quarter in Starbucks's China/Asia Pacific region.

Overall, Starbucks's net revenue rose 11.5% to \$6.31 billion, while profit rose 23% to \$852.5 million. Adjusted to exclude certain items affecting comparability, earnings rose 13% to 62 cents a share.

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